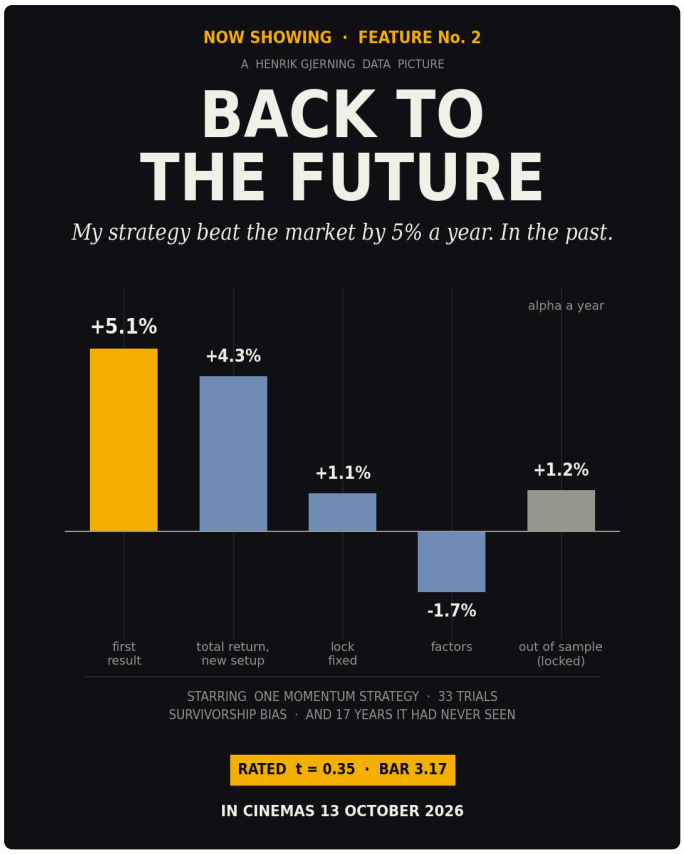


Henrik Gjerning · LinkedIn · 13 October 2026

BACK TO THE FUTURE: my strategy beat the market by 5% a year. In the past.

Then I tested it properly.

In early September I had what every quant hopes for: a momentum strategy with +5.1% a year of alpha against the MSCI World ETF, t-stat 2.90.

Two weeks of checking later:
→ Dividends added and the book re-configured: +4.3%
→ A holding rule had quietly turned it into buy-and-hold. Fixed: +1.1%, t 0.35
→ Adjusted for known factors: -1.7%. It is a momentum fund.

Before any of that, I had written down one test: the original strategy on 17 years of point-in-time data it had never seen. Result: +1.2% a year, t 0.24, and a -79% drawdown against the market's -56%. No evidence of an edge. The test was too weak to rule one out, but it showed the risk clearly.

Three lessons cost the most.
Survivorship: rebuilding the index as it was, not as it is today, cut the Sharpe ratio by 6–37%, depending on region and method.
The wrong null: 36% of random 10-stock portfolios from the same universe also "beat" the market with t > 2.
Counting: I tried at least 33 things, so the honest bar was t = 3.17. No alpha cleared it.

One thing held up: skipping small trades raised the Sharpe ratio by 0.07 to 0.34 in every region, in-sample. Cost control, not skill.

On Sharpe ratio the strategy lost 30% from first result to final number. Published anomalies lose about 26% before they are even published; bank backtests lose a median 73% once live. The hard part is not beating the market. It is not believing you already have.

Full article, tables and code: hgjerning.github.io/now-showing/back-to-the-future